EXECUTIVE SUMMARY

A. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" and is named after the beautiful drift of Callao Caves of which the Municipality takes pride in.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipal Government is centered on the provision of basic services, through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor of Peñablanca.

The audit covered the CY 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Peñablanca for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

Accounts	2019	2018	Increase/ (Decrease)
Assets	455,123,012.51	395,001,526.48	60,121,486.03
Liabilities	26,015,235.08	11,053,179.56	14,962,055.52
Government Equity	429,107,777.43	383,948,346.92	45,159,430.51
Income	321,084,984.52	292,906,645.28	28,178,339.24
Expenses	276,038,231.40	238,599,908.57	37,438,322.83

Accounts	2019	2018	Increase/ (Decrease)
Appropriation	407,226,428.54	352,555,376.43	54,671,052.11
Obligations	331,090,334.86	254,544,558.23	76,545,776.63

The funds received by the LGU and funds transferred to other agencies and non-government and people's organizations for CY 2019, with comparative figures for CY 2018, are shown below:

Fund Transferred to Other Agencies	2019	2018	Increase/ (Decrease)
Local Gov't Units	240,000.00	350,000.00	(110,000.00)

Fund Transferred from Other Agencies	2019	2018	Increase/ (Decrease)
Nat'l Gov't Offices	16,354,000.00	32,528,218.00	(19,174,218.00)
Local Gov't Units	8,000,000.00	3,000,000.00	5,000,000.00

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Peñablanca as of December 31, 2019 due to the following:

1. The correctness and existence of the Property, Plant and Equipment (PPE) Account appearing in the Financial Statements with the total amount of P348,425,183.80 at year – end, cannot be relied upon due to: (a) non-maintenance of Property, Plant and Equipment ledger cards by the Accounting Office; (b) the failure of the Accounting and General Services Office to correct, adjust and record the unreconciled balances between the books and the physical inventory reports.

2. Financial Assistance in the total amount of P904,000.00 were granted to Officials and Employees of different National Government Agencies and were taken up in the books as Donations or Other MOE, instead of taking-up the same as receivable account, thus utilization cannot be monitored and evaluated.

3. The procurement of 12 units multi-cab, with the total cost of P6,970,760.00, was taken up in the books as Motor Vehicles, instead of Disaster Response and Rescue Equipment, which is not in accord with COA Circular 2012-002, thus affecting the correct classification of the accounts under the Property, Plant and Equipment.

D. Summary of Significant Observations and Recommendations

1. **Procurement of infrastructure projects and various equipment were not included in the Annual Procurement Plan, which is not in accord with Sections 7.1 and 7.2 of the 2016 Revised Implementing Rules and Regulation of Republic Act 9184; while all other procurements in the Annual Procurement Plan did not indicate the mode of their procurement, which is not in accord with Item IV.A of Annex H of the same IRR, thus the optimum benefits of planning were not attained by the Municipality.**

   We recommended that the Management ensure that all procurements are included in the Annual Procurement Plan to achieve an economical and efficient procurement program/activity. We also recommended the adoption of the APP form provided by GPPB Circular 07-2015.

2. **Some Job Order Personnel rendered overtime services and were granted overtime pay without legal basis, which is not in accord with Section 2 of Presidential Decree No. 1445, resulting to improper disposition of funds.**

   We recommended that the Management stop the practice of allowing Job Order Personnel to render overtime services. We also requested the concerned Division Heads to give valid justification why the aforementioned disbursement should not be disallowed in audit.

3. **The responsible LGU officials did not deduct the exact monthly amortization for the GSIS loans availed by their employees, which is contrary to Items 14.2 and 14.3 of the Revised Implementing Rules and Regulations (RIRR) of Republic Act No. 8291, thereby exposing the member-borrowers and responsible officials to the burden of paying interests and penalties.**

   We recommended that the responsible officials act prudently in approving the loans of GSIS member-employees, and remit the required monthly amortizations to the GSIS promptly and correctly in accordance with the amortization schedule to avoid interests and penalties for non-compliance.

1. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2019:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	2,426,008.00	0.00	0.00	2,426,008.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**2,426,008.00**	**0.00**	**0.00**	**2,426,008.00**	**0.00**
Disallowances					
Prior Years	201,975.72	0.00	24,117.00	177,858.72	11.94%
Current Year	0.00	331,008.00	331,008.00	0.00	100.00
Total	**201,975.72**	**331,008.00**	**355,125.00**	**177,858.72**	**66.63%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

2. Status of Implementation of Prior Year's Audit Recommendations

Out of the 26 audit recommendations embodied in the CY 2018 Annual Audit Report, 17 were implemented, two (2) were partially implemented, and seven (7) were not implemented.